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Provision of July 18, 2023

Register of provisions

no. 321 of July 18, 2023

THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN THE meeting held today, attended by
Prof. Pasquale Stanzione, President, Prof.
Ginevra Cerrina Feroni, Vice President, Dr.
Agostino Ghiglia and Attorney Guido Scorza, Members, and
Counsel Fabio Mattei, Secretary General;

HAVING REGARD to Regulation (EU) 2016/679 of the European Parliament
and of the Council, of April 27, 2016, concerning
the protection of natural persons with regard to
the processing of personal data, as well as the free
movement of such data and repealing Directive
95/46/EC (General Data Protection Regulation, hereinafter "Regulation");

HAVING REGARD to the Code regarding the protection of personal data
(legislative decree June 30, 2003, no. 196), as
amended by legislative decree August 10, 2018, no. 101, containing
provisions for the adaptation of the national
legislation to the aforementioned Regulation (hereinafter
"Code");

HAVING REGARD to the documentation on file;

HAVING REGARD to the observations made by the Secretary
General pursuant to Article 15 of the Regulation of
the Guarantor no. 1/2000;

REPORTING Dr. Agostino Ghiglia;

1. INSPECTION ACTIVITIES CARRIED OUT BY THE AUTHORITY AT THE COMPANY HEADQUARTERS AND RELATED OUTCOMES.

1.1. Premise

In the context of the monitoring of marketing
and profiling activities conducted by telecommunications
Companies, an inspection was carried out on
May 3-5, 2022, at Tiscali Italia S.p.A. (hereinafter also: "Tiscali" or "the
Company").

The Company sent a note on May 20 to
clarify the reservations contained in the inspection
reports and an additional note on June 23, specifically
referring to the corrective actions
taken in light of some critical issues that emerged
during the on-site inspection. Following this, on
October 14 and December 9, 2022, this Authority sent
a request for information and supplementary documents to
better understand the processing activities under investigation
and the status of the changes made by the Company,
also considering the development of the merger process
with Linkem, operating in the same sector. The Company

provided a complete response with a note dated January 13 of this year (to which full reference is made for further details).

From the examination of the inspection documents, the following emerged.

1.2. Information and consents for the processing of data

With regard to the data retention periods, the Company's Privacy Policy (attached 5 to the minutes of May 4), identical for the corporate website as well as for the stores—in particular in the paragraph "Right to erasure of personal data," states: "We retain user data only for the time necessary to provide the requested service or to comply with legal obligations," adding that: "If you believe we are retaining them for a period longer than necessary, the first thing to check is whether the contract with Tiscali has been terminated. If you have not been a customer for at least 6 months and there are no active billing items and/or credit situations, fraud, open complaints with Tiscali, the user can also request the deletion of their data, so as not to make them visible in Tiscali's IT systems anymore. However, even in this case and under certain conditions, we may still be obliged not to permanently delete the user's data for:

reasons of public safety; the ascertainment, exercise, or defense of a right in judicial proceedings or for compliance with a legal obligation." A similar formulation is essentially present in the privacy notice, issued by the Company on the website as well as in the stores, which only covers contractual purposes and those provided by the legislator.

There is therefore no specified time frame, much less distinct for types of modalities and purposes (in particular for marketing and profiling purposes), nor based on the type of data processed, thus the mentioned informational texts do not provide the data subjects with sufficient elements to allow them to be aware of this fundamental aspect of the processing, with the risk of also undermining any consent that may have been given. The gap is even more serious concerning the data of prospective subjects and lead subjects referred to in the call-back service, whose data are retained for 5 years and 2 years respectively (see, below, par. 1.6, of this document).

1.3. Call-back service via pop-up.

The Company highlighted that "the only marketing activity carried out on the contacts (leads) collected on the aforementioned site within the call-back service, via pop-up, is that related to the call-back for the proposal of the related Tiscali services and that the contact is not included in lists for future generic re-contacts, but is instead inserted "in a specific call-back system, which serves only to

manage the call-backs.”

With specific reference to one of the comparators

(“friendly bill”), the following formulation for obtaining consent was found in the pop-up:

“Having read the privacy notice pursuant to

Legislative Decree 196/03 and Regulation (EU) 679/2016

(GDPR), by clicking on “Call me for free” I give my consent

to the processing of personal data to be

relevant in the context of data retention, as it impacts the management of marketing activities and profiling.

1.7. Data retention for marketing and profiling purposes

From the analysis of the “Data Retention Policy” (Annex 6, minutes of May 3), the following critical aspects emerged:

- To carry out marketing and profiling activities, all data (including the “purchase history of Tiscali products and services”) is retained for 10 years, both for inactive customers and for customers, starting from the “last purchase” or “last interaction”;
- For the same purposes, data (including the “purchase history of Tiscali products and services; personal and contact data such as name, surname, email address, information obtained from the public profile on social media, etc.”) of prospect subjects is retained for 5 years. As the starting point for retention, the Company has identified the date of the “last interaction” (in this case, providing some exemplary hypotheses such as “participation in an event or contest”), with respect to marketing, and that of “consent collection,” with respect to profiling.

Furthermore, in the aforementioned Policy regarding the management of lead lists, for the purpose of the call-back service, a retention period of 2 years is indicated (see, for the same term, the register of processing, with reference to the relevant section). Moreover, the number of interested parties assumes a relevance in the context of data retention, as it impacts the management of marketing activities and profiling.

relevant amount; for example, regarding inactive and suspended customers, “the result of the inquiry refers to 2,926,458 lines in which the customer’s identifying data have been anonymized, in line with Tiscali’s data retention criteria” (see note May 20, 2022).

2. CORRECTIVE ACTIONS TAKEN BY THE COMPANY.

On June 23, 2022, Tiscali sent a note – to which full reference is made – in which it outlined some corrective actions also taking into account the critical issues that emerged during the inspection. In particular, it stated that it had clarified the wording of the cookie banner, also regarding the consent declaration for the purposes of processing as well as the acceptance of contractual terms and the privacy notice, separating the relevant boxes proposed to users during registration on the website. Furthermore, regarding the inconsistency noted above, the Company informed that “on 19/5/22 the Company instructed its data processing manager Engineering, via a dedicated ticket ..., in order to remedy the anomaly detected during the inspection and realign the Siebel and MyTiscali tools. This activity was completed by Engineering on 03/06/22,” attaching, “as proof of this, a screenshot related to the conclusion of the positive processing.”

Regarding “soft spam,” the Company produced the modified notice with reference to such promotional activity towards those who are already customers (as long as they do not oppose), via email, asking the Authority to evaluate, “also by resorting to an interpretation of art. 130, co. 4 of the Privacy Code based on the so-called ‘living law’, whether what is provided therein regarding soft spam can be considered – based on the current technological and social evolution – extendable also to communication via SMS. This is considering the fact that, to date, SMS has a significantly reduced reach compared to the past (also due to the advent of new instant messaging systems). It should be noted, however, that following the last campaign carried out in February 2022, the Company had already suspended such soft spam activities.”

Tiscali also represented that it was in the process of working, again through the IT company responsible for data processing, on real-time alignment between the blacklist and the CRM.

3. SUPPLEMENTATION OF THE INQUIRY.

In light of the completion of the incorporation operation of Linkem (now: Opnet S.p.A.) into the Tiscali group, as well as the corrective actions taken by the Company, it was deemed necessary to address a request for elements and documents to the latter, on October 14, 2022 – renewed on December 9 as no response had been received – in order to verify the roles of Tiscali Italia S.p.A. and Linkem S.p.A. in the processing of customer/prospect data; the quantity and quality (types) of data acquired following the merger; data retention policies; notices issued to the data subjects, as well as any corrective measures taken regarding possible critical issues that emerged during the inspection or independently identified by the Company.

Tiscali – with a delay allegedly due to a technical issue in managing the certified email service – provided a response, with a note dated January 13 of this year (to which reference is made for the details of the various profiles examined), stating first of all that: “The extraordinary operation completed on August 1, 2022, consisted of a series of corporate operations that ... involved the incorporation by Tiscali of the retail business unit of Linkem S.p.A. and the consequent takeover by Tiscali, pursuant to the provisions of articles 2501 et seq. of the Civil Code, in a multitude of active and passive relationships of Linkem S.p.A.”. In particular, on July 22, 2022, the deed of merger by incorporation between Tiscali S.p.A. (now, Tessellis S.p.A.), the holding company of the Tiscali Group (incorporating company), and Linkem Retail S.r.l. (incorporated company) was formalized, effective as of August 1, 2022; at the same time, the Company proceeded with an internal reorganization within its group, in order to centralize all retail activities under itself, taking over “as of August 1, 2022 ... the ownership of all activities included in the retail business unit, including those for the processing of personal data of only active customers as of July 31, 2022, previously carried out by Linkem ... Conversely, the processing of data of Linkem customers who ceased prior to July 31, 2022 ... remained with Opnet S.p.A. (then Linkem S.p.A.).”

The Company added that it “sent a communication to customers via email on July 28, 2022, also containing the notice on the processing of personal data (Attachments 1 and 2, to the aforementioned response note); communication made available on the website dedicated to the Linkem service and still available at the page <https://www.linkem.com/fusione-linkem-tiscali>.”

Regarding data retention, following the extraordinary operation, the Company stated that it had initiated the necessary internal analysis aimed at “a complete mixing of the databases previously owned by Linkem S.p.A. within its own systems. Since this objective has not yet been achieved, ... it holds the personal data of acquired customers on different and additional systems – also acquired in the (said corporate affair) – compared to those used to carry out the data processing activities already subject to the (inspection) activities.”

Furthermore, with particular regard to retention periods, the Company referred to those expressly provided for in the aforementioned privacy notice.

Regarding these terms, specifically, it emerges from the analysis of the aforementioned policy that, similarly to Tiscali customers, the retention of personal data collected and processed for marketing purposes related to active customers is provided for “until (possibly) the revocation of consent.” Although expressly indicated in the aforementioned information, there was no trace of the retention of the personal data in question for profiling purposes.

Lastly, this Authority, on January 28, 2023, requested the Company to specify the following quantitative data: - number of customers (active and ceased) and - leads, distinguishing between the two brands “Tiscali” and “Linkem.” The Company, responding on February 7 of this year, represented that, with reference to the Tiscali brand, the active customers are 17,808,080; those ceased 1,384,029; leads 19,576; with reference to the Linkem brand: active 530,614; ceased 47,474; leads 19,576.

4. THE CONTESTATION MADE BY THE AUTHORITY.

4.1. Information and consents for data processing

The aforementioned gaps in the information highlighted the alleged violation of the principles of ‘fairness’ and ‘transparency’ (Articles 5, paragraph 1, letter a, and 12, paragraph 1), as well as Article 13 of the Regulation. Referring to what was stated in paragraph 2 of this provision, the retention periods for the invasive marketing purposes (including targeted marketing) and the underlying profiling

were not indicated, preventing the data subjects from assessing whether and which data to provide or possibly unsubscribe from the company website. Therefore, the prerequisites for the violation of the principles of transparency (Articles 5, paragraph 1, letter a, and 12, paragraph 1, of the Regulation) and the appropriate information (Article 13, paragraph 2, letter a) of the same Regulation were identifiable.

Moreover, this was found to be in contrast with the Guidelines of the European Data Protection Board pursuant to the Regulation (wp260rev.01), available at www.edpb.europa.eu, which, in line with the aforementioned legislation, expressly emphasize the fulfillment of information obligations in terms of simplicity, clarity, immediate intelligibility, also taking into account the more vulnerable categories (such as the elderly and persons with disabilities), and particularly characterized by a lower capacity for discernment.

With limited reference to customers purchasing Tiscali products and/or services, a possible violation emerged—also in relation to an invasive processing such as profiling—of Article 6 of the Regulation, as there was no correct legal basis identified: it does not appear that this processing is based on the consent of the data subject (paragraph 1, letter a), nor on legitimate interest (paragraph 1, letter f), the application of which, as is known, should have been based on a prior specific balancing test between the interest of the data controller and that of the data subjects or even third parties (see Guidelines of the Group under Article 29 on this specific premise; see also provision of January 15, 2020, no. 7, web document no. 9256486).

4.2. Call back service via pop-up.

The inconsistency between the consent obtained through the call-back pop-up and that expressed in the information—preventing the data subject from understanding which promotional initiatives they are consenting to—appeared to be in contrast with the principle of fairness and transparency (Articles 5, paragraph 1, letter a, and 12, paragraph 1, of the Regulation).

4.3. The use of so-called "soft spam."

The sending of promotional SMS—rather than emails—to subjects who were already customers and had not given consent for marketing constituted a possible violation under Article 130, paragraph 4, of the Privacy Code, which, while allowing the use of electronic mail for promotional purposes towards subjects who have already purchased a product or service, regulates an exception—not subject to extensive application—compared to the general rule of prior, specific, verifiable, and unequivocal consent. Furthermore, it is necessary to consider the high number of affected individuals involved (70,000 customers, between October and November 2021; 95,000 customers, between December 2021 and February 2022).

4.4. Management of refusals and objections to processing

Regarding the lack of a suitable procedure to return (possibly since the establishment of the Company) the dates, channels, or other circumstances related to the expressed changes in privacy consents over time by individual data subjects, the prerequisites for the violation of the accountability principle (Articles 5, paragraph 2, and 24, of the Regulation) were identified, as the Company was unable to demonstrate adequate management of the fundamental right of the data subject to self-determination (also pursuant to the aforementioned Article 6, paragraph 1, letter a, of the Regulation) concerning their personal data sphere.

4.5. Retention of data for marketing and profiling purposes

Regarding the retention periods, as highlighted in paragraph 1.6. of this document (specifically, therefore, referring to the data of active customers, ceased customers, and leads), as well as the term ("until (possibly) the revocation of consent" - provided for in the aforementioned paragraph 3 "Investigative Integration" in relation to "personal data collected and processed for marketing purposes related to active customers")—the probable conflict with the principles of 'purpose, minimization, and limitation of retention' emerged, pursuant to Article 5, paragraph 1, letters b, c, and e) of the Regulation. The aforementioned terms, while presupposing that they have been... identified by the Company in the exercise of its accountability, appear nonetheless excessively

extended. In fact, based on the general provision of February 24, 2005 [doc. web 1103045], the general rule regarding retention periods is a maximum of 2 years for marketing-related data and 1 year for profiling-related data.

Furthermore, it was noted that there are some exceptional cases in which the term (in particular, that related to profiling activities) has been extended (up to 7 years and not up to 10 or until the possible revocation of consent), but this term is referenced by brand companies belonging to the luxury sector, authorized by the Authority, in a very different socio-economic and technological context, following a specific request for prior checking and a specific investigation. It should also be added that, as far as the records show, it was not considered that the type of products sold by the Company could be assimilated to those marketed by such companies (e.g., Bulgari, Ferragamo; see provisions of April 24, 2013, doc. web 2499354 and May 30, 2013, doc. web n.2547834).

5. NOTIFICATION OF ALLEGED VIOLATIONS PURSUANT TO ART. 166, PAR. 5, OF THE CODE. Based on the above, it was deemed necessary to contest to the Company the alleged violation of the following provisions of the Regulation:

arts. 5, par. 1, lett. a), b), c) and e) as well as par. 2; 6, par. 1, lett. a);

12, par. 1, and 13, par. 2, lett. a);

24;

as well as art. 130, co. 4, of the Code.

Therefore, the initiation of the procedure for the possible adoption of the measures referred to in article 58, par. 2, of the Regulation and for the possible application of the monetary sanctions referred to in art. 83, par. 4 and 5, of the Regulation was communicated.

6. THE DEFENSIVE MEMORANDUM.

Through its defensive memorandum of March 22, 2023, to the full text of which reference is made, the Company represented that:

6.1. Information and consents for data processing.

Regarding the "failure to indicate the retention periods of data for marketing and profiling purposes in the information provided to customers," the Company represented "that following the Extraordinary Operation of incorporation between Tiscali and the retail business branch of Linkem S.p.A., the Company updated the information on the processing of personal data pursuant to art. 13 of the Regulation directed at customers of Tiscali services under the Linkem brand, including within it the precise indication of the retention periods of personal data concerning each processing purpose pursued, including those of marketing ('until the revocation of the consent expressed by you pursuant to art. 7 of the GDPR and/or until your opposition to the processing pursuant to art. 21 of the GDPR') and general profiling based on legitimate interest ('12 months' from collection). The same modifications will also be made to the contractual privacy information directed at customers of Tiscali-branded services." The Company also highlighted that "the absence of any complaints that have flowed into this procedure is further proof that, despite the presence of an outdated data retention policy, Tiscali has always operated in compliance with the relevant information without causing any type of prejudice to the data subject."

Regarding profiling activities, the Company represented: "that the processing indicated in the information with the term 'aggregated profiling' consists of a data processing activity aimed at strategic orientation analyses carried out by the Company, qualifying, using recently coined terminology, as 'aggregated analysis' or 'classification.' The aforementioned processing actually consists of analyzing, in a general and aggregated manner, the demographic and purchasing information of the entire customer database to create strategic business models and improve its products and services, without making assessments, predictions, or drawing conclusions about specific individuals.

"Unlike profiling as understood in the terms of art. 4 of the Regulation," the Company further specified that "no attribute and/or profiled marker is associated with the customer records present in the database. The personal data of the Company's customers are, therefore, used to carry out aggregated business intelligence processes that lead to high-level information not related to individual customers, allowing the Company to know the number of those (and not who) who have availed themselves of

specific services in a given geographical area over a certain period of time. Typical cases of aggregated business intelligence processes carried out include, for example, general analyses of the offers of its services through which it is verified, through aggregated assessments, how many customers from the entire database have adhered to a specific promotion in a given period and/or geographical area; or even the general analysis of the entire customer base aimed at statistically understanding the targets that characterize the customer base (for example, statistical evaluation of the percentage of women and men, percentage distribution by age groups, geographical area, etc.). The general analysis activity carried out by Tiscali – unlike profiling activity – as defined pursuant to art. 4 of the GDPR – does not imply, therefore, any personalized impact on customers, as it is not directly and functionally aimed at implementing commercial actions or... targeted and personalized advertising. The aforementioned analysis activity, projecting into the strategic choices of the Company, is directly functional to the satisfaction of a typically entrepreneurial interest of the same; the processing of the data that results can therefore find its basis in the legitimate interest pursuant to Article 6, paragraph 1, letter f) of the Regulation ...".

6.2. Call-back service via pop-up.

In this regard, Tiscali stated that: "During the inspection activity (see minutes of May 4, 2022), it emerged that - in the context of the inbound marketing activity carried out following a collection of leads by third-party providers of comparison services in the telecommunications market - exclusively for one of said providers ("bolletta amica"), the formula for the commercial consent to be given for being re-contacted (call back) was misaligned with what was provided in the related privacy notice for call back. The Company reiterated that "this is merely a material error of alignment and/or updating of the text, given that for the other comparators analyzed during the Inspection Activity, this incongruity is absent ... as indicated in the note of May 20, 2022; (it) has corrected/aligned ... this call back notice concerning "bolletta amica" so that the references to the consent therein matched the aforementioned consent formula, which provides for specific commercial re-contact for the only advertised Tiscali service. As further confirmation of the mere material error and as proof that this had no concrete impact on the interested parties, the Company added that: "- on one hand, the data collected for the call back phase did not flow into the corporate CRM but into a specific system for call back (see attachment 8 to the minutes of 4.5.22 with screenshots of the call back system). Therefore, the risk of commercial contact outside the consent for re-contact for the single Tiscali service was excluded ... Only the administrators of the call back system had visibility of the stored numbers "up to a maximum of 30 days prior. The data was verified and confirmed during the inspection, which took place from May 3 to May 5, 2022, where it emerged that the oldest data referred to April 24, 2022, so it was evident that they were kept for a period not exceeding 30 days." Tiscali then stated that: "from the evidence of the systems collected during the Inspection Activity, it was established that this error had no impact on the systems and, therefore, even less on the interested parties"; at the same time highlighting that "pursuant to Article 3 (general principles) of Regulation 1/2019 ... the Authority must take into account "the nature and gravity of the violations to be ascertained in relation to their effects and the extent of the harm they may cause to one or more interested parties, the likelihood of proving their existence, as well as the available resources."

6.3. The use of soft spam.

The Company stated "how this method of sending campaigns only concerned two promotional campaigns and was subsequently definitively interrupted upon the expiration of the second campaign in February 2022 ... the activity only concerned two campaigns for a small pool of customers compared to the entire customer base communicated to this Authority."

6.4. Management of refusals and objections to processing.

The Company preliminarily observed, reiterating what was stated during the inspection, that it has not carried out telemarketing and teleselling activities since before 2018. "Consequently, the objections of prospects collected in the blacklist consist solely of cases of "generic" objections, that is, communications sent by the interested parties indiscriminately against the main electronic communication operators (including Tiscali) to oppose any campaigns, and not as a result of specific

teleselling/telemarketing campaigns initiated by Tiscali at least since 2018 onwards directly and/or indirectly ... it has not activated even an Agency channel for the direct proposal of commercial contracts. For this reason, the content of the blacklist reports a relatively small number of objections.” The Company also documented that “the blacklist including about 350 objections was shared, recorded simultaneously at 00:00 on September 25, 2019, which are the result of a massive upload of all previously collected objections from another Database, dating back, at a minimum, to May 25, 2018, the date of application of the GDPR. ... it has recovered all previously collected blacklists from before 2019 up to 2018 ... As can be easily verified through a comparison, all the names present in these blacklists coincide with the approximately 350 objections ...”

6.5. Data retention for marketing and profiling purposes.

With reference to the data retention policy concerning customers, the Company stated “first of all that the version shared with the Authority was not updated and is currently under review also following the aforementioned Extraordinary Operation. As indeed demonstrated during the Inspection Activity through evidence collected also on the systems ...: - Tiscali does not carry out profiling activities; - regarding marketing towards prospects, it is appropriate to remember that these subjects represent the so-called “leads” and, therefore, as per the related notice viewed in the Inspection Activity, said data was retained exclusively for 30 days.”

The Company then stated that the “censorship raised...

regarding the data retention periods for marketing and profiling purposes, according to the orientation of the provision of February 24, 2005, based on which “the retention periods for data related to purchase details concerning customers should be identified as 24 months (starting from registration) for marketing purposes and 12 months (starting from registration) for profiling purposes – does not seem to be applicable.” According to the Company, it would indeed be the responsibility of the Data Controller, by virtue of the principle of accountability, “the burden of making every appropriate assessment, adopting adequate technical-organizational measures to ensure compliance of the processing with the Regulation,” recalling “some provisions of the Authority that have recognized the possibility of extending the retention period for the processing of data related to purchase details even up to a period of 10 years and this not only in favor of companies/brands belonging to the fashion/luxury sector (see, for example, provision no. 274 of May 9, 2018 [web doc no. 8998319], provision no. 297 of June 12, 2014 [web doc no. 3315156], provision no. 329 of May 22, 2018 [web doc no. 9022048]).”

6.6. Framework of the improvement measures adopted.

The Company has represented that it has voluntarily implemented a set of improvement actions, as proof of its accountability, both already initiated and/or concluded, also as a measure of further collaboration with this Authority. Among these:

- the correction of the privacy call-back notice regarding the comparator “friendly bill”;
- the further clarification of the marketing consent formula;
- the separation, through a different and specific flag, of the acknowledgment of the notice from the contractual conditions;
- the “refinement of the customer privacy notice, through the use of even simpler and more effective terms in representing the marketing purpose and eliminating references to soft spam via SMS”;
- the implementation of a technical automation that aligns in real-time the blacklist of objections with the CRM;
- the standardization of the call-back notices, following the aforementioned merger.

6.7. Conclusions formulated by the Company.

In light of all the above, Tiscali, in the memorandum in question, requested the archiving of the proceedings and, in the alternative, to apply a sanction at its minimum legal value, taking into account: (1) the measures adopted by the data controller to mitigate any damage suffered by the data subjects; (2) the degree of responsibility of the data controller considering the technical and organizational measures it has implemented; (3) the degree of cooperation with the supervisory Authority in order to remedy the violation and mitigate its possible negative effects. The Company has also documented, in

detail, its condition of severe economic and financial crisis such that it has “closed 9 of the last 10 budget years with a strongly negative net result to which must be added the widespread difficulty of all medium-small telecommunications companies.”

7. THE COMPANY'S HEARING.

During the hearing held on April 27 of this year, the Company, recalling what was already represented in the defense memorandum, added that within the said merger procedure with Linkem, data protection has been assumed as an increasingly central value within the corporate reorganization, establishing new functions (IT and compliance) within the same Directorate that deals with privacy, appointing a DPO authorized to directly relate to the CEO of the Company, further reviewing and standardizing notices, corresponding consents, procedures, and documentation between Tiscali and Linkem.

8. SUPPLEMENTARY NOTE FROM THE COMPANY DATED MAY 30 OF THIS YEAR.

In a note dated May 30, 2023, Tiscali finally represented that, “despite the critical economic and financial condition of its budgets, confirmed most recently during the approval of the financial data for the 2022 fiscal year, and the telecommunications market in the current historical context in which all major operators have announced redundancies for thousands of jobs, it has responsibly opted to safeguard its employees by not reducing the excess workforce; and that, following the merger, it has internalized the outsourced personnel from some call centers, as well as relocated without any redundancies the personnel from the IT business branch rented (to another company), and returned at the end of 2022.”

The Company also reiterated that the processing indicated in the notice with the term ‘aggregated profiling’ “consists of a data processing activity aimed at strategic orientation analyses carried out by the Company, qualifying, using recently coined terminology, as ‘aggregated analysis’ or ‘classification’ and that consists of analyzing, in a general and aggregated manner, the demographic and purchase information of the entire customer database to create strategic business models and improve its products and services, without making assessments, predictions, or drawing conclusions regarding specific individuals”; that this classification responds to the definition recently found in the Code of conduct for telemarketing and teleselling activities approved by this Authority on March 9 of this year. Finally, the Company, due to the stated need to “safeguard its workers and business continuity, in the denied hypothesis in which...

9. LOGICAL AND LEGAL OBSERVATIONS OF THE AUTHORITY.

9.1. Informative and legal bases for processing.

With specific regard to the informational fulfillment, considering that the defenses formulated are not sufficient to exempt the Company from administrative responsibility, it is deemed necessary to confirm the violation of the principles of 'correctness' and 'transparency' (Articles 5, paragraph 1, letter a, and 12, paragraph 1), as well as Article 13 of the Regulation, in light of the arguments presented above in the notice of violation. Moreover, it is irrelevant, contrary to what the Company has argued, that "even in the presence of an outdated data retention policy, Tiscali has always operated in compliance with the relevant information without causing any type of prejudice to the data subject," since, based on the combined provisions of Articles 12 and 13 of the Regulation, the inadequate fulfillment of the fundamental obligation of complete and transparent information is sanctionable, pursuant to Article 83, paragraph 5, of the Regulation, regardless of any potential prejudicial correlated consequences. Regarding the possible legal basis for profiling activities (individual or aggregated), understood, pursuant to Article 4, paragraph 1, letter d) of the Regulation, as "any form of automated processing of personal data consisting of the use of such personal data to evaluate certain personal aspects relating to a natural person, in particular to analyze or predict aspects concerning professional performance, economic situation, health, personal preferences, interests, reliability, behavior, location, or movements of said natural person," it should be highlighted that the Company, particularly with the aforementioned notes of March 22 and May 30 of this year, clarified that, in reality, its activity consists of a general and aggregated analysis based on macro-criteria (such as age or gender) without any evaluation or impact on the individuals concerned, and therefore – despite the terminology used in the

information – cannot be assimilated to profiling.

In light of the above, this Authority – considering the function of mere segmentation and generic classification of the customer base – can exclude the occurrence, in this case, of a profiling activity and, therefore, believes it can archive the violation that was previously contested.

****9.2. Call back service via pop-up.****

Considering the articulated arguments put forth by the Company (and, in particular, the merely formal nature of the violation in question and the absence of any actual prejudice to the data subjects), it is deemed appropriate to archive the related contestation (Articles 5, paragraph 1, letter a, and 12, paragraph 1).

****9.3. The use of soft spam.****

The Authority, recalling what has already been highlighted in this regard in the notice of violation, believes that the arguments put forth by the Party cannot be considered sufficient to overcome the criticism raised, since – it should be reiterated – that of Article 130, paragraph 4, is an exceptional norm, thus not susceptible to analogical application.

In this regard, the violation of the aforementioned provision is confirmed.

****9.4. Management of refusals and objections to processing.****

The Company has finally demonstrated awareness of the objections received since the full operation of the Regulation, producing the relevant blacklists, but has added nothing, compared to what emerged during the inspection, regarding the failure to implement a "CRM function or other corporate system to return the dates, channels, or other circumstances related to the expressed variations of privacy consents over time by the individual data subjects" and its current setup of the blacklist, which is only able to keep "track of the most recent and current will option."

It should be emphasized that the data controller must be able to specify the various manifestations of consent and denial, so as to adequately respond to the requests of the data subjects pursuant to Articles 15-22 of the Regulation as well as the investigative requests of the Authority in the context of its supervisory activities.

It is therefore deemed necessary to confirm the violation of Articles 5, paragraph 2, and 24 of the Regulation and also to order the Company to implement a procedure capable of returning, within the aforementioned terms, the variations of privacy consents expressed over time by the individual data subjects.

****9.5. Retention periods.****

As asserted by the Company, the decision of the Guarantor of February 24, 2005 "Fidelity card and guarantees for consumers," although no longer binding, is to be considered still applicable as a guideline and therefore so is the timing provided therein (24 months for marketing-related data; 12 months for profiling-related data). Moreover, while valuing the principle of accountability, also with reference to the delicate matter of data retention, one cannot certainly conclude that a data controller, based on such a principle that needs to be balanced with other fundamental principles provided by the Regulation, can deviate excessively from the aforementioned provisions without risking a violation of the principle of data retention limitation (see Article 5, paragraph 1).

d) of the Regulation). For example, it is considered inappropriate to retain data related to marketing until the date of revocation of consent to processing, pursuant to Article 7 of the Regulation, especially considering that the data subject may never change their mind or may maintain their decision unchanged for years.

Furthermore, the previous cases cited by the Company (see provisions of April 24, 2013, web doc 2499354 and May 30, 2013, web doc n. 254783) adopted by the Authority under different conditions and concerning the retention periods of data related to the purchase of luxury goods, are not applicable to the case at hand.

10. CONCLUSIONS.

Based on the above, it is deemed established that Tiscali is responsible for the following violations of the Regulation:

Articles 5, paragraph 1, letters a), b), c), and e) as well as paragraph 2; 12, paragraph 1; 13, paragraph 2, letter a); 24; as well as Article 130, paragraph 4, of the Code.

Given the unlawfulness of the aforementioned conduct of the Company, it is necessary to order the Company to:

- establish and apply differentiated retention periods, in relation to the categories of data subjects (active customers; ceased customers; leads), in accordance with the principle of data retention limitation (Article 5, paragraph 1, letter e) of the Regulation), distinguishing between marketing processing and classification processing, and deleting or anonymizing data that is retained beyond the established terms (see, similarly, the recent provisions of October 20, 2022; April 27, 2023; June 8, 2023).
- implement a procedure suitable for returning the dates, channels, or other circumstances related to changes in privacy consents that may have been expressed over time by individual data subjects.

Regarding the processing already carried out and for deterrent purposes, it is believed that the conditions for the application of an administrative pecuniary sanction pursuant to Articles 58, paragraph 2, letter i) and 83, paragraphs 4 and 5, of the Regulation exist.

11. Order for the application of the administrative pecuniary sanction

The confirmed violations above necessitate the adoption of an order for injunction, pursuant to Articles 166, paragraph 7, of the Code and 18 of Law No. 689/1981, for the application against Tiscali S.p.A. of the administrative pecuniary sanction provided for by Article 83, paragraphs 4 and 5, of the Regulation. However, since various provisions of the Regulation and the Code have been violated in relation to connected processing carried out by the Company for marketing purposes, Article 83, paragraph 3, of the Regulation is deemed applicable, according to which, "if, in relation to the same processing or connected processing, a data controller violates, with intent or negligence, various provisions of the Regulation, the total amount of the administrative pecuniary sanction does not exceed the amount specified for the most serious violation," thus absorbing the less serious violations.

Specifically, the aforementioned violations - also concerning the principle of 'limitation' of retention (Article 5 of the Regulation) - are to be classified, pursuant to Article 83, paragraph 3, of the same Regulation, within the scope of the most serious violation, with consequent application of the sanction provided for in Article 83, paragraph 5, of the Regulation.

For the purposes of quantifying the administrative sanction, the aforementioned Article 83, in setting the maximum penalty at paragraph 5 at the sum of 20 million euros, specifies the methods for quantifying the said sanction, which must "in any case [be] effective, proportionate, and dissuasive" (Article 83, paragraph 1, of the Regulation), identifying, for this purpose, a series of elements, listed in paragraph 2, to be evaluated when quantifying the related amount.

No aggravating elements among those indicated in this provision are found in the case at hand; on the contrary, the following circumstances emerge as mitigating factors:

- 1) the timely adoption of corrective measures, some of which were initiated immediately after the conclusion of the inspection findings, distinguishing Tiscali within the telecommunications sector (letter f);
- 2) the constant and fruitful collaboration with this Authority (letter f);
- 3) the purely national dimension of its activity and its relatively marginal role in the telecommunications market (letter k);
- 4) the severe ongoing socio-economic crisis and its serious repercussions on the economic and financial situation of the Company ("... 9 of the last 10 financial statements with a strongly negative net result"), which, however, at the same time, decided to maintain its workforce unchanged and has internalized personnel from other companies, otherwise destined for dismissal (letter k).

Based on the overall elements indicated above, applying the aforementioned principles of effectiveness, proportionality, and dissuasiveness referred to in Article 83, paragraph 1, of the Regulation, also taking into account the necessary balancing between the rights of data subjects and the freedom of enterprise, in order to limit the economic impact of the sanction on the organizational,

functional, and employment needs of the Company, it is deemed that Tiscali should be applied – considering similar cases, such as the provision of October 20, 2022, web doc n. 9825667 – the administrative sanction of paying a sum of 100,000.00 euros, equal to 0.5% of the maximum statutory sanction.

In the case at hand, it is also deemed that the accessory sanction of publication on the Authority's website of this decision should be applied.

****Provision****, as provided for by Article 166, paragraph 7, of the Code and Article 16 of the Garante Regulation No. 1/2019, taking into account the sensitivity of the matter under investigation (data retention for marketing and profiling purposes; obligation to conduct impact assessments for invasive and large-scale processing) as well as the need for non-discrimination with respect to similar cases (see provision of October 20, cited).

Finally, the prerequisites of Article 17 of Regulation No. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers entrusted to the Garante, are met for the annotation of the violations identified here in the internal register of the Authority, as provided for by Article 57, paragraph 1, letter u) of the Regulation.

****ALL OF THE ABOVE CONSIDERED, THE GARANTE****

a) pursuant to Article 57, paragraph 1, letter f), of the Regulation, declares unlawful, in the terms set out in the reasoning, the processing carried out by Tiscali Italia S.p.A., with registered office in Cagliari, Località Sa Illetta, SS 195 Km 2,300, Tax Code VAT: 02508100928; and consequently;

b) pursuant to Article 58, paragraph 2, letter d), of the Regulation, orders the establishment and application of differentiated retention periods, in relation to the categories of data subjects (active customers; ceased customers; leads), in accordance with the principle of data retention limitation (Article 5, paragraph 1, letter e) of the Regulation), also distinguishing between marketing and classification processing and deleting or anonymizing data that is retained beyond the established terms;

c) pursuant to Article 58, paragraph 2, letter d), of the Regulation, orders the implementation of a procedure suitable for returning the dates, channels, or other circumstances related to changes in privacy consents that may have been expressed over time by individual data subjects;

d) pursuant to Article 157 of the Code, orders the Company to communicate to the Authority, within 30 days from the notification of this provision, the initiatives undertaken to implement the imposed measures; any failure to comply with the provisions of this point may result in the application of the administrative pecuniary sanction provided for by Article 83, paragraph 5, of the Regulation;

****ORDERS****

pursuant to Article 58, paragraph 2, letter i), of the Regulation, Tiscali Italia S.p.A., represented by its legal representative, to pay the sum of €100,000 (one hundred thousand/00), as an administrative pecuniary sanction for the violations indicated in the reasoning; it is noted that the offender, pursuant to Article 166, paragraph 8, of the Code, has the option to settle the dispute by paying, within 30 days, an amount equal to half of the imposed sanction;

****ORDERS****

the aforementioned Company, in the event of failure to settle the dispute pursuant to Article 166, paragraph 8, of the Code, to pay the sum of €100,000.00 (one hundred thousand/00), according to the methods indicated in the annex, within 30 days from the notification of this provision, under penalty of the adoption of subsequent enforcement actions pursuant to Article 27 of Law No. 689/1981;

****PROVIDES****

as an ancillary sanction, pursuant to Article 166, paragraph 7, of the Code and Article 16 of the Garante Regulation No. 1/2019, the publication on the Garante's website of this provision and, pursuant to Article 17 of the Garante Regulation No. 1/2019, the annotation in the internal register of the Authority, as provided for by Article 57, paragraph 1, letter u) of the Regulation, of the violations

and the measures adopted.

Pursuant to Article 78 of Regulation (EU) 2016/679, as well as Articles 152 of the Code and 10 of Legislative Decree No. 150 of September 1, 2011, an opposition to this provision may be proposed to the ordinary judicial authority, with an appeal filed at the ordinary court of the place where the data controller resides, or, alternatively, at the court of the place of residence of the data subject, within thirty days from the date of communication of the provision itself, or sixty days if the appellant resides abroad.

Rome, July 18, 2023

****THE PRESIDENT****

Stanzione

****THE REPORTER****

Ghiglia

****THE SECRETARY GENERAL****

Mattei